The Fiat Stratification Feedback Model

A Unified Framework of Fractional Reserve Lending, Cantillon Distribution, Tax Incentives, and K-Shaped Polarization

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Version: Appended Preprint

Date: March 16, 2026

Abstract

This paper introduces the Fiat Stratification Feedback Model, a novel integration of four mechanisms within contemporary monetary and fiscal systems that contribute to self-reinforcing wealth stratification. These include fractional reserve lending, the Cantillon Effect, K-shaped economic divergence, and tax incentives for debt-financed asset retention. Drawing from my examination of post-2020 M2 expansions in earlier Bitcoin education materials, they establish a positive feedback loop concentrating liquidity and opportunity at the upper economic strata, paralleled by a negative loop eroding stability at the lower end. Such processes have persisted under the prior 10 percent reserve regime for decades, though their intensity has varied cyclically, as seen in post-World War II periods of temporary inequality compression amid monetary expansions. Yet the March 2020 shift to zero reserve requirements, while not unleashing unlimited lending, did enhance bank liquidity and profitability, thereby amplifying the loops' magnitude in conjunction with quantitative easing (Koch 2026; Duffie and Krishnamurthy 2016). Derived from institutional realities in the fiat system, the model highlights polarization's persistence as an inherent trait, albeit one modulated by cycles of growth and contraction. It positions these mechanisms as amplifiers, not the exclusive drivers, of stratification, interacting with factors like technological advancements, global trade pressures, demographic shifts, and market concentration (Tica et al. 2022; Brookings Institution 2024; Oxfam International 2025).

JEL Classification: E42, D31, D63, E52, E58, H24

Keywords: fiat money, fractional reserve banking, Cantillon effect, K-shaped recovery, wealth stratification, tax incentives, feedback loops, buy-borrow-die, zero-reserve requirements, monetary non-neutrality, inflation inequality, post-2020 QE amplification, wealth inequality, monetary policy transmission

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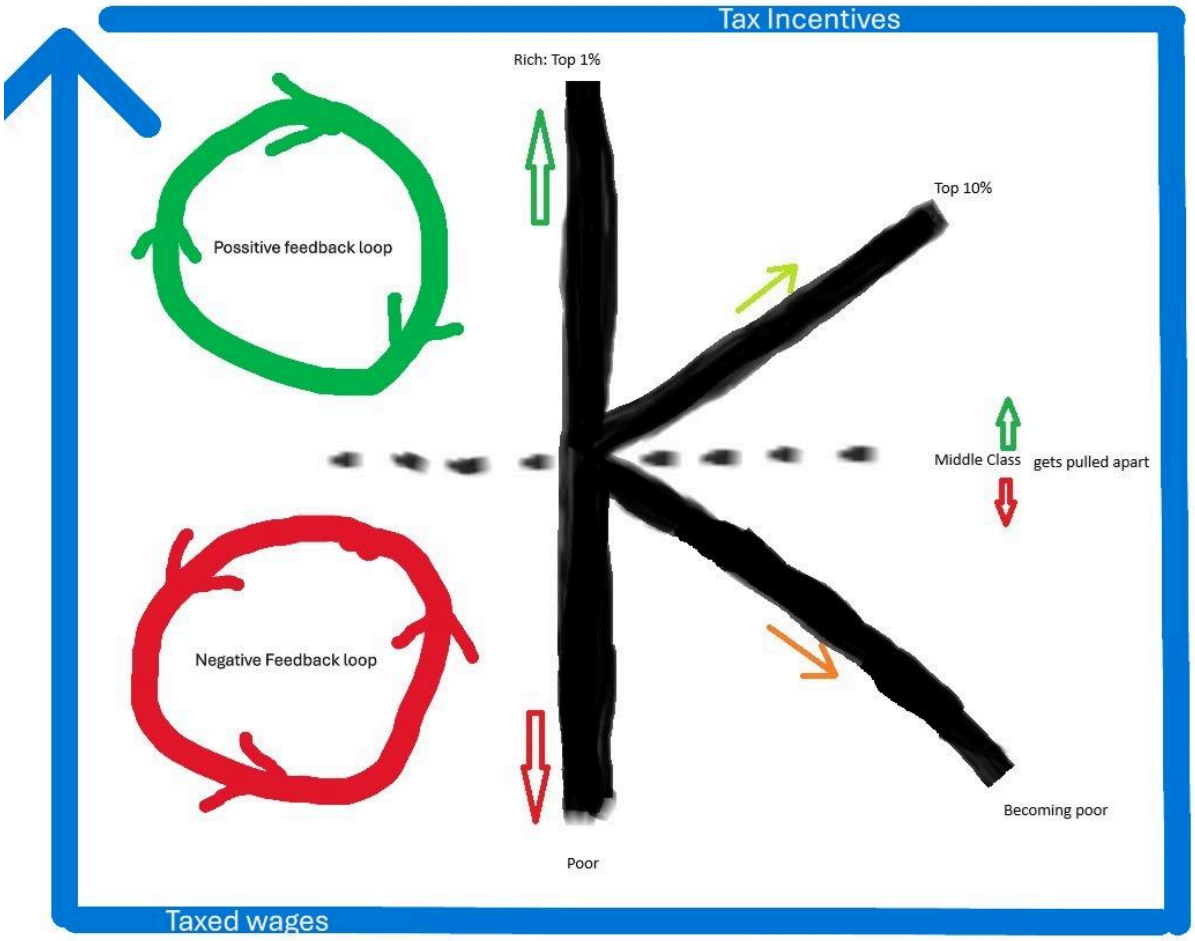

Figure 1. Preliminary Hand-Drawn Sketch of the K-Shaped Divergence and Dual Feedback Loops. This diagram, created by the author in Microsoft Paint while developing the initial structure of the model, visualizes the core thesis of the Fiat Stratification Feedback Model in its most basic conceptual form. The green positive self-reinforcing feedback loop concentrates advantage among asset-rich households at the top (Top 1 %), while the red negative self-reinforcing feedback loop erodes position for wage-dependent households at the bottom; the central black K-structure, framed by tax incentives above and taxed wages below, shows the middle class being pulled apart. This sketch directly informed the more formalized representations in Figures 4, 6, 7, 8, and 9.

Original synthesis by John Quinby, March 2, 2026.

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Acknowledgements of Foundational Concepts

The model presented here synthesizes several well-documented economic mechanisms. The author gratefully acknowledges the prior work of Richard Cantillon (1755), modern analyses of zero-reserve banking since March 2020, and the extensive literature on K-shaped recovery patterns and tax-driven wealth strategies. The specific integration into a unified self-reinforcing dual feedback system and the original diagrams are the author's own contribution.

Literature Review

The four core mechanisms in the Fiat Stratification Feedback Model draw from longstanding economic ideas, though their full integration into a closed-loop framework remains uncommon. Consider, for instance, how historical contexts like the post-World War II era of monetary expansion occasionally compressed inequality, reminding us that these effects can vary cyclically.

Richard Cantillon (1755) pioneered the insight that new money injects into the economy unevenly, benefiting early recipients at the expense of later ones. This notion evolved through Mises (1949), Rothbard (1962), and Hülsmann (2008), forming the Austrian view of money's non-neutrality. Analyses after 2008, and particularly after March 2020, such as those by Selgin (2020), Beckworth (2021), and Alden (2022), show how zero-reserve policies and quantitative easing intensified these Cantillon distributions. Recent contributions have brought important critical perspectives on the scale and persistence of quantitative easing amplification. Çerçil (2025) examines asset purchase programs across 49 countries and finds that while effects on income inequality may fade over time, the consequences for wealth inequality tend to be more durable. De Luigi (2023) reaches a similar conclusion through the asset price channel in the euro area, showing that expansionary monetary shocks accelerate wealth gains primarily among upper brackets. These studies complement earlier work such as Koch (2026) by highlighting how repeated interventions can embed lasting distributional shifts, even as they support short-term stabilization.

Empirical work further suggests that while Cantillon effects often prove transitory in balanced models, repeated credit expansions in distorted fiat systems can accumulate into more persistent disparities, aligning with Austrian critiques of ongoing monetary interventions (Bagchi et al. 2019; Dorobat 2019). Mainstream equilibrium models, however, posit long-term monetary neutrality, where money supply changes affect only nominal variables without altering real output or distribution over time (Lucas 1972; Friedman 1968). This perspective overlooks the path-dependent distortions emphasized in Austrian theory, where fiat interventions create lasting inefficiencies. Reflecting on this divide, one sees how theoretical assumptions shape views on money's role.

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The K-shaped divergence became evident post-2020 crisis (Stiglitz 2020; Chetty et al. 2020; Federal Reserve DFA reports 2021-2025). Authors have described the bifurcation, but fewer have linked it causally to money creation sequences. This gap invites reflection: in times of rapid policy shifts, such as during pandemics, the split may reflect not just monetary flows but also abrupt changes in labor markets.

Tax incentives for debt-financed asset holding, known as "buy, borrow, die," appear in public finance studies (Saez and Zucman 2019; Batchelder and Kamin 2022; IRS SOI data series). These analyses view the tax code as a distributional instrument, yet overlook its role in channeling debt back into the fractional-reserve cycle.

Heterodox efforts, including Hudson (2012), Keen (2017), and Kelton (2020), have partially connected these elements across eras. However, no prior work unifies fractional reserve lending, Cantillon sequencing, K-shaped results, and tax feedback into a concise, diagrammed dual-loop model. The Fiat Stratification Feedback Model addresses this void. Active under the 1992-2020 10 percent reserve system, the mechanisms gained momentum after the March 2020 reserve elimination, which bolstered bank liquidity and earnings rather than directly easing credit constraints, especially amid large-scale quantitative easing (Koch 2026; Federal Reserve DFA reports 2021-2025).

Thus, the model accounts for stratification's enduring and accelerating nature as fiat-endogenous, tempered by counterforces like bankruptcies, redistributive policies, innovative disruptions, and occasional inflationary resets (Garcia and Panetti 2024 working paper). The living empirical appendix tracking these mechanisms quarterly is maintained on the Realignment Trilogy Quarterly Log. Updates occur on the 15th of March, June, September, and December. The log operationalizes four tests, A.1 praxeological, A.2 transmission, A.3 historical, and A.4 forward-metric, corresponding to the mechanisms examined below. A companion document containing the full four-test protocol and quarterly instructions is available through the living appendix link above.

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1. Fractional Reserve Lending Under Current Regulatory Guidelines

Fractional reserve lending describes how commercial banks generate new money via credit issuance backed by a portion, or now zero percent, of deposits. The March 2020 removal of reserve requirements, a nominal barrier, mainly improved bank liquidity and profitability. Banks already held surplus reserves before this change, constrained instead by capital adequacy rules under Basel III, risk-weighted asset limits, liquidity coverage requirements, net stable funding ratios, and actual loan demand (Koch 2026; Duffie and Krishnamurthy 2016; Selgin 2020). This adjustment did not spark unchecked expansion but facilitated smoother operations during volatility, reinforcing Austrian concerns about fiat credit's uneven distribution.

1.1 Regulatory Framework Post-March 2020

Since the Federal Reserve’s elimination of reserve requirements in March 2020 (Board of Governors of the Federal Reserve System, 2020; Selgin 2020; still in effect as of 2026), depository institutions operate with a 0% reserve ratio on most transaction accounts. Liquidity is maintained instead through high-quality liquid asset (HQLA) buffers calibrated to short-term stress tests rather than fixed reserve mandates.

1.2 Money-Creation Mechanism

A deposit received by a large bank becomes the basis for new loan creation many times its size. The newly issued loan simultaneously creates a new deposit in the system, expanding the broad money supply. The Fed and the six largest U.S. banks function as the primary liquidity gatekeepers, channeling this new credit first to other systemically important institutions and large corporate entities.

1.3 Structural Implications

This architecture positions the originating banks and their immediate counterparties at the apex of the money-creation pyramid, granting them temporal priority over the deployment of newly created purchasing power. In interaction with quantitative easing, zero reserves amplify Cantillon flows by enabling faster liquidity injections. For instance, Federal Reserve data show that QE4 in 2020-2021 correlated with M2 spikes of over 25 percent annually, directing initial benefits to asset markets before broader diffusion (Federal Reserve DFA reports 2021-2025). Such patterns underscore uneven distribution, a key Austrian critique.

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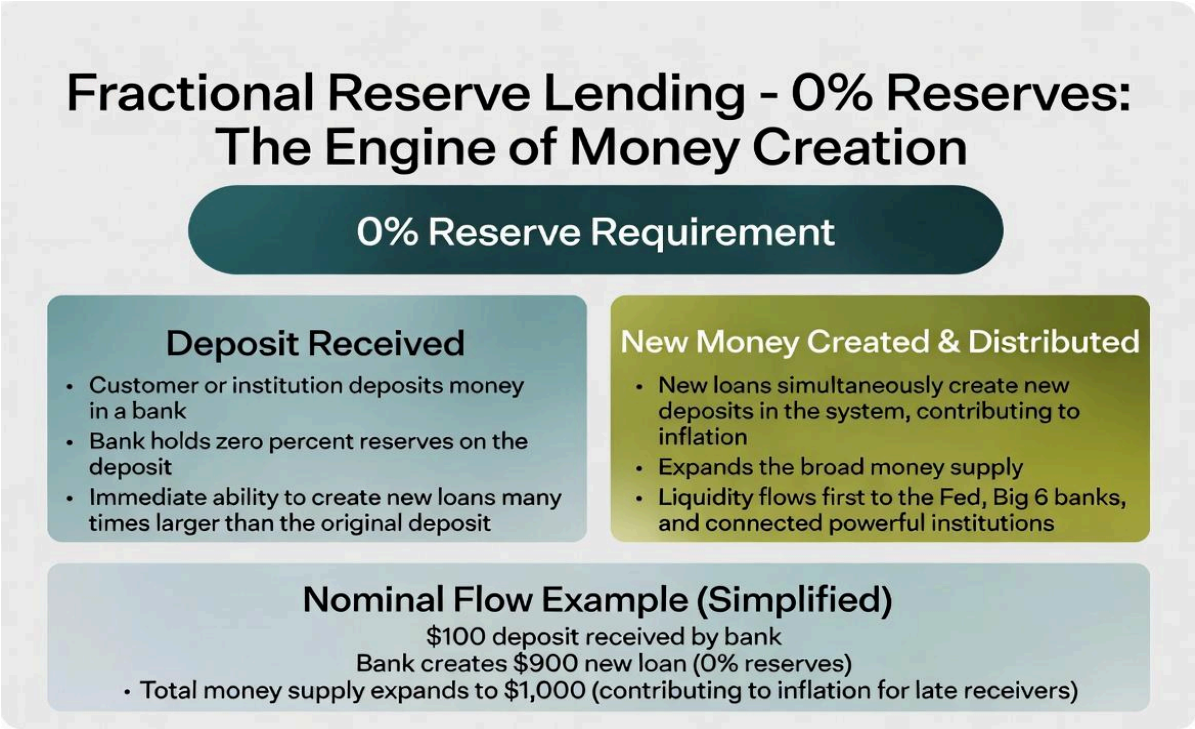

Figure 2**. Fractional Reserve Lending: 0% Reserves**. This diagram depicts how banks create new money through credit expansion under current zero reserve requirements. The process serves as the engine initiating the positive self-reinforcing loop at the upper strata.

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2. The Cantillon Effect

The Cantillon Effect, first described by Richard Cantillon in 1755, describes the non-neutral impact of money creation on relative prices and resource allocation depending on the order of receipt. Empirical debates persist: some models view effects as transitory, dissipating in equilibrium (McCallum 2004). Yet in distorted fiat systems, they accumulate persistently.

2.1 Core Mechanism

Newly created credit does not diffuse instantaneously or uniformly. Early recipients, typically large financial institutions, hedge funds, and connected corporations, can deploy the funds to acquire real assets, commodities, or equities while general price levels have not yet adjusted.

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2.2 Asymmetric Purchasing-Power Transfer

By the time the new money reaches wage earners through higher-order spending or wage adjustments, the same nominal units command fewer goods and services. This constitutes a silent transfer of real resources from late recipients to early recipients.

2.3 Modern Amplification

In a zero-reserve environment, repeated rounds of credit expansion magnify the effect, embedding a structural advantage for entities with direct or near-direct access to primary dealers and Fed facilities. Empirical debates persist on duration: some models view effects as transitory, dissipating with market adjustments (Bagchi et al. 2019). Yet in distorted fiat systems, they can accumulate, as ongoing interventions prevent full neutralization. This raises questions about long-term data, where evidence sometimes seems inconclusive.

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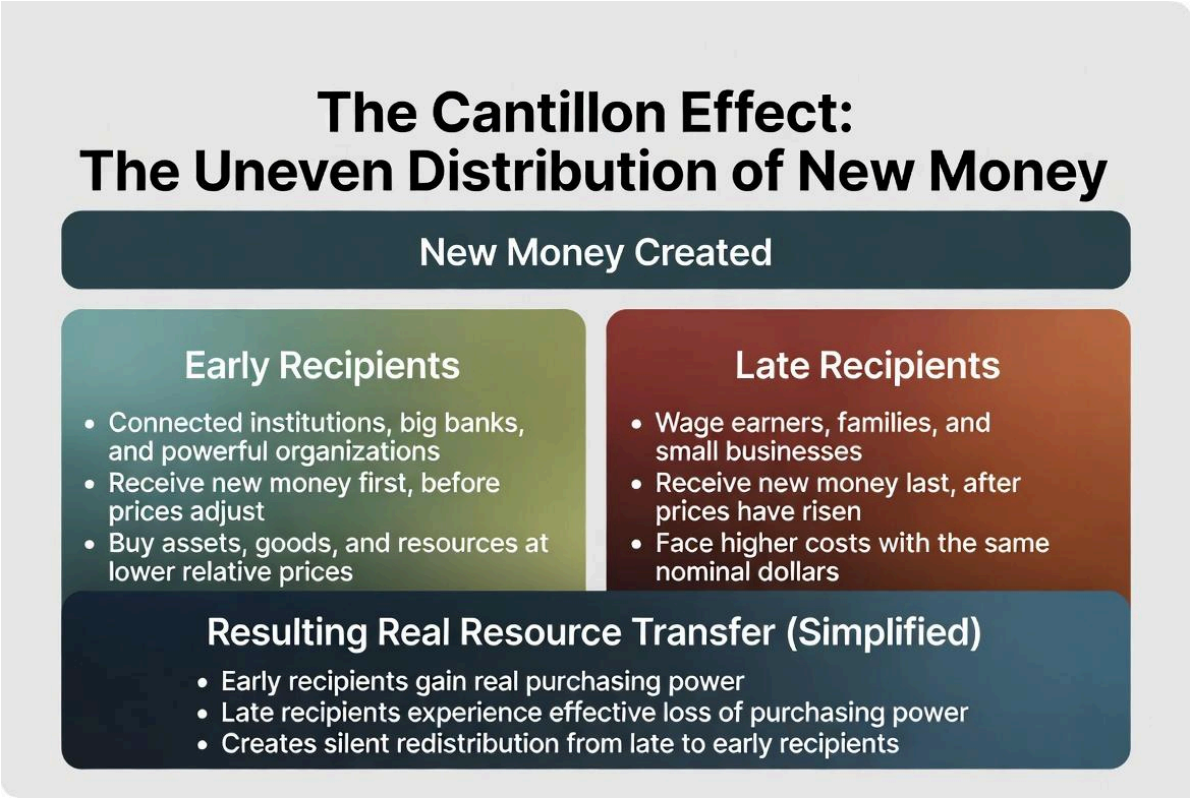

Figure 3. The Cantillon Effect: The Uneven Distribution of New Money. This illustration shows the non-neutral impact of new money creation. Early recipients gain real resources before general price levels adjust, thereby amplifying both positive and negative feedback loops.

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3. The K-Shaped Economy

The K-shaped economy describes a post-shock divergence in which one segment of the population experiences sustained upward trajectories while another stagnates or declines.

3.1 Visualization and Definition

Plotted against time, asset-rich households trace the upper arm of the “K,” while wage-dependent and small-business households trace the lower arm. The divergence is not merely cyclical but structurally embedded.

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3.2 Empirical Drivers

Early access to credit enables asset accumulation, collateralization, and further borrowing capacity for the upper cohort. The lower cohort faces rising input costs, constrained credit terms, and reduced real wages, limiting capital formation.

3.3 Long-Term Polarization

The shape becomes self-perpetuating over time, though modulated by external shifts. For details on countervailing factors like labor market changes, see Section 5.3. The diverging trajectories are produced by two opposing self-reinforcing feedback loops—one concentrating advantage among asset holders and the other eroding position for wage families—which are examined in detail in Section 5 (see Figure 8).

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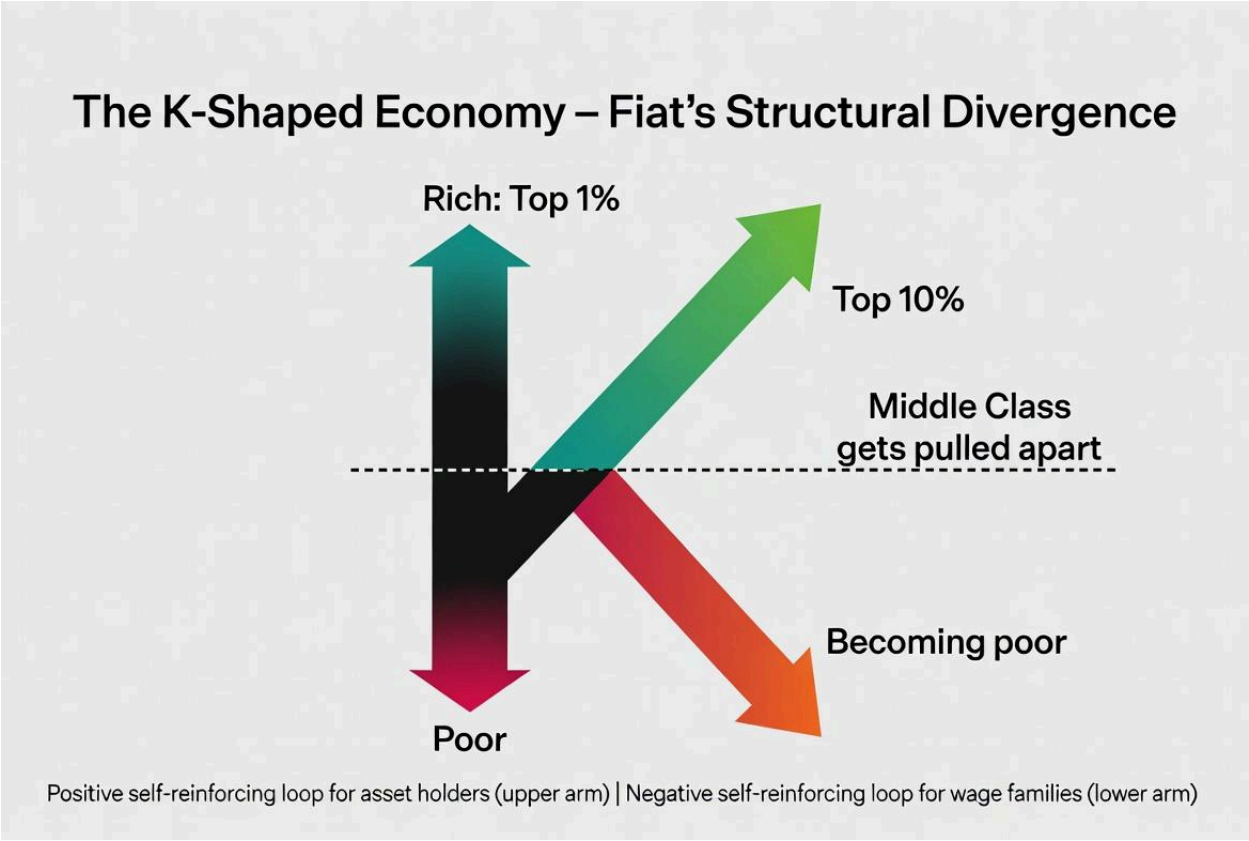

Figure 4. The K-Shaped Economy: Fiat's Structural Divergence. This figure visualizes positive self-reinforcing loop for asset holders along the upper arm of the K and the negative self-reinforcing loop for wage families along the lower arm.

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4. Tax-Code Incentives as the Stabilizing Glue

Modern tax regimes (U.S. and peer jurisdictions) contain structural features that preferentially reward debt-financed asset retention over asset liquidation or earned-income accumulation.

4.1 Debt-Is-Not-Income Rule

Proceeds from loans are excluded from taxable income, whereas sale of appreciated assets triggers capital-gains recognition.

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4.2 Interest Deductibility and Rollover Strategies

Interest expense on investment-related debt is frequently deductible. Asset holders therefore maintain and expand positions by borrowing against unrealized appreciation ("buy, borrow, die" pathway; Batchelder & Kamin 2022), deferring or avoiding realization events. Step-up in basis at death further entrenches the preference. My research on Bitcoin as a monetary alternative has helped clarify one key aspect of this tax mechanism. Capital-gains taxation strongly encourages asset owners to borrow against their holdings rather than sell them. Interest costs on these loans are typically much lower than the taxes due on a sale. Institutions, which usually hold tier-1 credit ratings, can secure even more favorable rates. This allows owners to retain the asset, let its value continue compounding, and roll the debt over indefinitely. The fixed supply of 21 million Bitcoin, combined with its volatility and rapid appreciation potential, makes this strategy particularly effective when managed properly and directs additional liquidity into the upper feedback loop.

4.3 Feedback into the Monetary System

Repaid or rolled loans re-enter the banking system as new deposits, supplying fresh raw material for the fractional-reserve engine and directing liquidity back toward the originating institutions.

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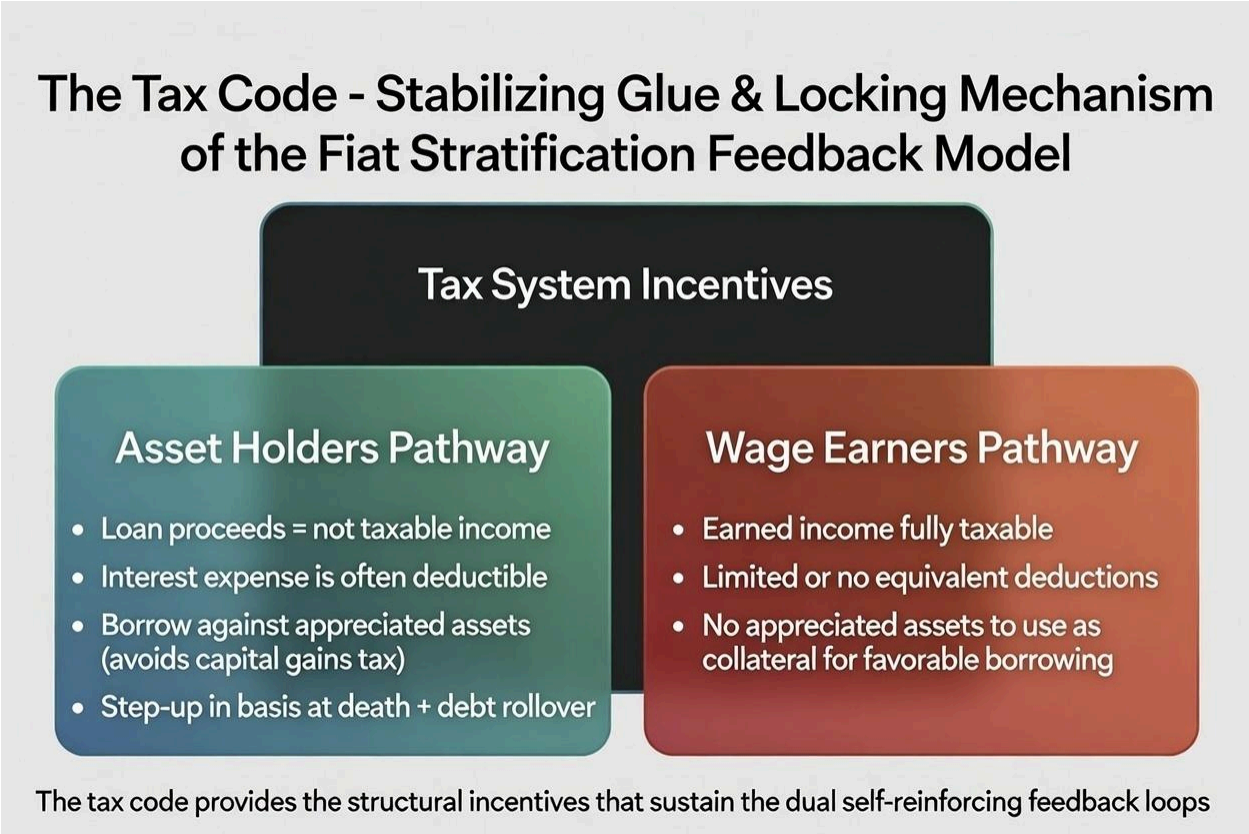

Figure 5. The Tax Code: Stabilizing Glue and Locking Mechanism of the Fiat Stratification Feedback Model. This diagram illustrates how the tax code supplies structural incentives that sustain the dual self-reinforcing feedback loops.

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5. Integration: The Dual Feedback Loops

5.1 Positive Self-Reinforcing Loop (Upper Arm of the K)

1. Fed/Big-6 banks create new credit via zero-reserve lending.
2. Cantillon distribution delivers this credit first to connected institutions.
3. Early recipients acquire assets at pre-adjustment prices.
4. Asset appreciation widens the K divergence.
5. Tax incentives encourage borrowing against appreciation rather than selling.

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6. New debt flows back into the banking system as deposits, enabling further credit creation at Step 1.

Each iteration increases the velocity and volume of liquidity available exclusively to the upper cohort, reinforcing their relative position.

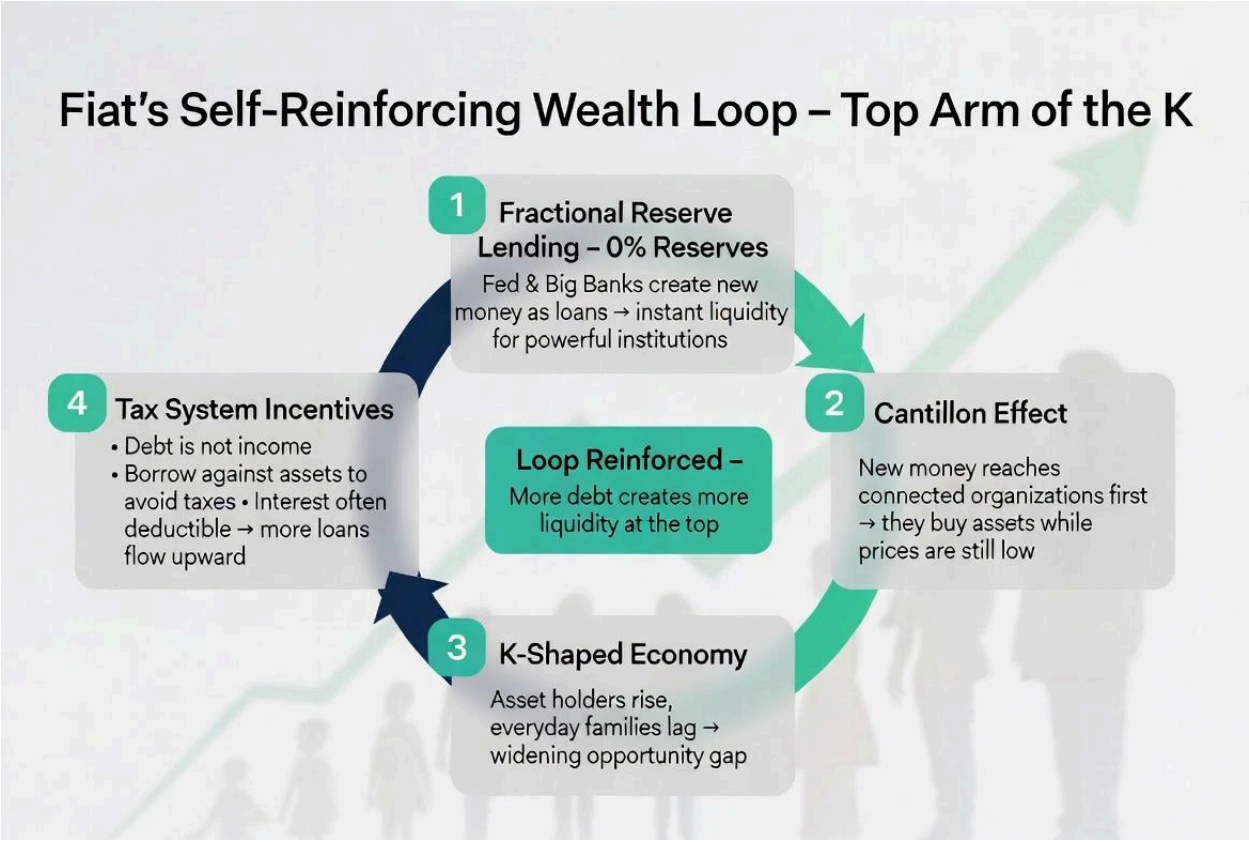

Figure 6. **Fiat's Self-Reinforcing Wealth Loop: Top Arm of the K.** This schematic demonstrates how more debt creates more liquidity at the top, reinforcing the positive loop.

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5.2 Mirror Negative Self-Reinforcing Loop (Lower Arm of the K)

1. Wage and small-business households receive diluted credit last, after price adjustments have occurred.
2. Cantillon erosion reduces their real purchasing power.
3. Rising essential costs without commensurate asset buffers force reliance on higher-interest consumer debt.
4. Tax code offers no equivalent deferral or deductibility advantages for earned income or modest savings.
5. Resulting cash-flow pressure reduces savings and investment capacity, further limiting collateral and credit access.
6. Diminished economic mobility feeds back into lower wage bargaining power and reduced aggregate demand for non-asset classes, tightening the constraint at Step 1 for this cohort.

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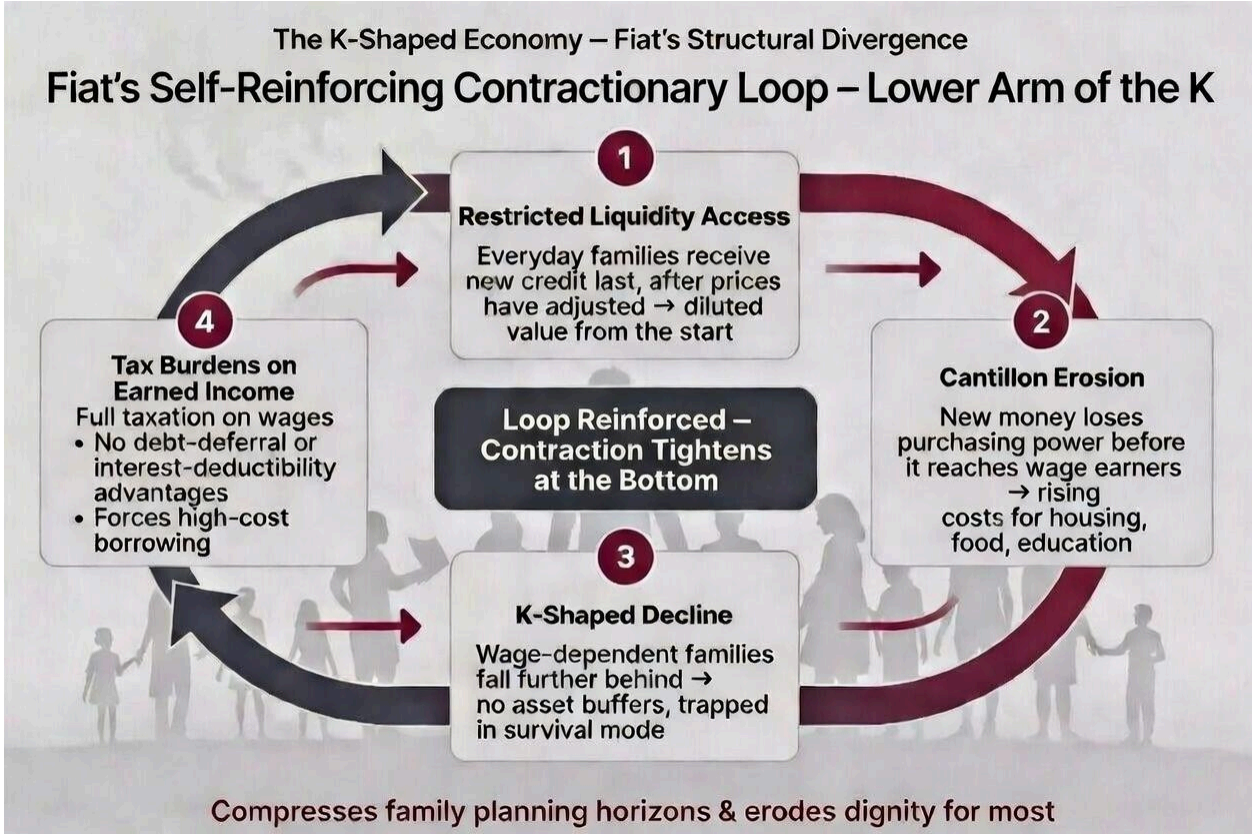

Figure 7. Fiat's Self-Reinforcing Contractionary Loop: Lower Arm of the K. This schematic shows how contraction tightens at the bottom, reinforcing the negative loop.

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Combining the positive self-reinforcing wealth loop (Figure 6) and the mirror negative self-reinforcing contraction loop (Figure 7) within the K-shaped structure produces the complete visualization of Fiat's structural divergence shown below.

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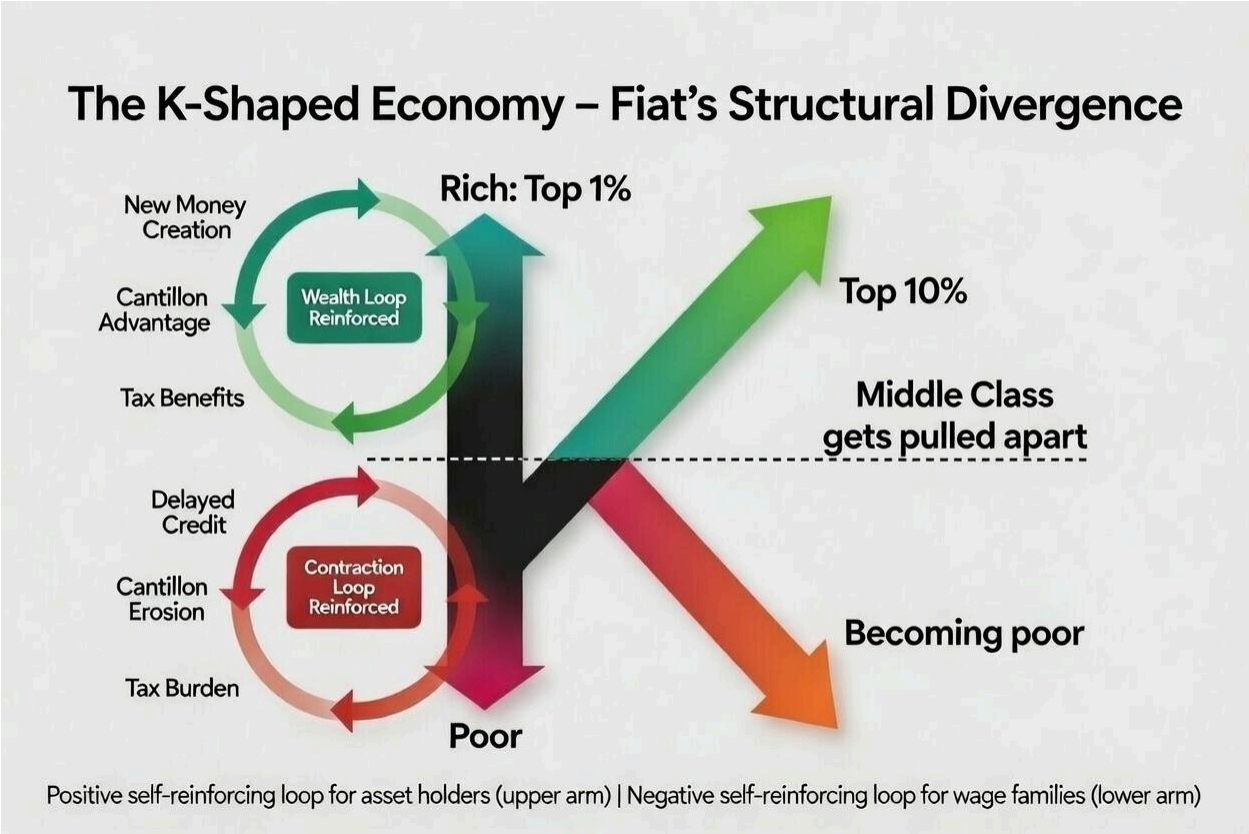

Figure 8**. Fiat's Dual Self-Reinforcing Feedback Loops: The K-Shaped Divergence.** This figure visualizes the complete integration of the positive self-reinforcing wealth loop for asset holders along the upper arm of the K (driven by new money creation, Cantillon advantage, and tax benefits) and the negative self-reinforcing contraction loop for wage families along the lower arm (driven by delayed credit, Cantillon erosion, and tax burden), with the middle class being pulled apart.

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An additional consequence occurs as the interest payments on these higher-cost consumer loans accrue primarily to large financial institutions and their investors in the upper economic strata. These payments represent a continuous, regressive transfer of real purchasing power from wage-dependent households to the financial sector. The resulting increase in bank deposits and profitability supplies additional raw material for the fractional-reserve lending engine, thereby expanding credit availability disproportionately for connected entities and accelerating the positive self-reinforcing loop at the top.

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The lower loop is contractionary and entrapping, steadily compressing planning horizons and intergenerational transfer potential. Empirical measures of inflation inequality further reinforce the contractionary loop at the bottom. Lower-income households consistently face 0.28 to 0.50 percentage points higher effective annual inflation on their consumption basket than higher-income households (BLS 2024; Cleveland Federal Reserve 2025), driven by greater spending shares on food, shelter, and energy goods whose prices rise later in the Cantillon sequence. While exact attribution to monetary feedback remains challenging amid confounding factors, the persistent gap illustrates how late receipt of new purchasing power erodes real living standards for wage-dependent families.

5.3 Alternative Explanations and Countervailing Forces

The Fiat Stratification Feedback Model emphasizes monetary and fiscal amplifiers of wealth divides, yet recognizes broader contributors. Skill-biased technology favors educated workers, widening gaps. Globalization exposes labor to international competition, often suppressing wages at the base. Demographic trends, such as aging populations, alter savings and investment patterns unevenly. Winner-take-all dynamics in concentrated industries further entrench top earners (Tica et al. 2022; Brookings Institution 2024; Oxfam International 2025). These elements do not contradict the model; they interplay, sometimes exacerbating loops during expansionary phases.

The model's emphasis remains centered on United States institutions, yet available comparative studies indicate broader relevance. Research contrasting fiat systems with historical gold-standard episodes or cryptocurrency experiments in emerging markets suggests that alternative monetary arrangements may exhibit less pronounced stratification effects. One analysis finds that fiat money contributes positively to global income and wealth inequality, whereas gold-standard or crypto-based systems appear associated with lower disparity measures in cross-country data (Alzahrani 2020).

Fiscal policy interventions warrant explicit consideration as well. Large-scale direct transfers during the 2020 to 2021 period, for example, temporarily alleviated pressure on the lower loop by injecting liquidity to wage-dependent households. Because these transfers reached wage earners later in the money-creation sequence, most of the additional funds supported spending on consumer goods and services rather than asset purchases. Two structural realities explain this outcome. Financial literacy is substantially lower among lower-income households, which reduces the share of liquidity directed toward savings or investment. At the same time, the persistent gap between nominal wage growth and the combined rise in living costs and asset prices since the suspension of gold convertibility has left wage-dependent families with little margin to convert temporary relief into lasting capital positions.

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Table 1. Stimulus Allocation Patterns and Inflation Exposure by Income Group, 2020–2022

(Data: U.S. Census Household Pulse Survey 2020–2021; BLS experimental price indices; Cleveland Federal Reserve 2025)

Income Group	Primarily Spent on Consumption (%)	Saved or Invested (%)	Inflation Premium vs Headline (pp)
Bottom 40%	68–74	18–25	+0.35 to +0.50
Middle 40%	48–55	35–42	Near zero
Top 20%	35–42	52–60	-0.20 to -0.30

The net result was that a substantial portion of these transfers cycled back into consumption and debt service. The resulting deposits and interest payments flowed upward through the banking system, reinforcing the positive loop for asset holders while the contractionary pressure on wage families continued.

One might pause here to note a historical parallel: the mid-20th century's inequality decline amid growth, suggesting external forces can override monetary tendencies temporarily. Countervailing mechanisms provide negative feedback that averts total entrenchment. Bankruptcies clear malinvestments, echoing Austrian business cycle theory. Progressive taxation redirects resources downward, though imperfectly. Innovation upends established players, fostering new opportunities. Inflation diminishes debt burdens for borrowers, potentially equalizing over time. Policy shifts, like enhanced regulations, can curb excesses (Garcia and Panetti 2024 working paper). Quantitative easing episodes have at times generated partial offsets through strengthened labor markets and mortgage refinancing channels among middle-income households. In this view, the model's loops operate as tendencies within a broader equilibrium, susceptible to these offsets. For example, if wage pressures from labor

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shortages persist, they might erode upper-strata advantages, a point warranting further scrutiny in Austrian analyses.

Table 2. Interaction of External Factors with Model Loops

Factor	Interaction with Model Loops	Example Effect
Technological Change	Amplifies positive loop for skilled; exacerbates negative for unskilled	AI boosts asset returns for owners, displaces low-wage jobs
Globalization	Heightens K-shaped divergence via trade	Offshoring erodes bottom wages, benefits top exporters
Demographics	Modulates via savings shifts	Aging increases demand for assets, concentrating wealth
Counterforces (e.g., Bankruptcy)	Dampens via resets	Clears debt overhang, potentially compressing inequality
Innovation	Disrupts incumbents	New entrants redistribute opportunities, challenging persistence

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6. The Complete Framework: Dual Loops Contained Within the Tax System

The preceding sections have examined the four constituent mechanisms in isolation and in paired interaction. By situating the dual self-reinforcing loops inside the tax system as the outer stabilizing structure, the framework illustrates how monetary, distributional, and fiscal elements operate as a coherent, closed system. This visual synthesis makes explicit the self-perpetuating character of stratification while highlighting the precise location where policy intervention could most effectively interrupt the loops.

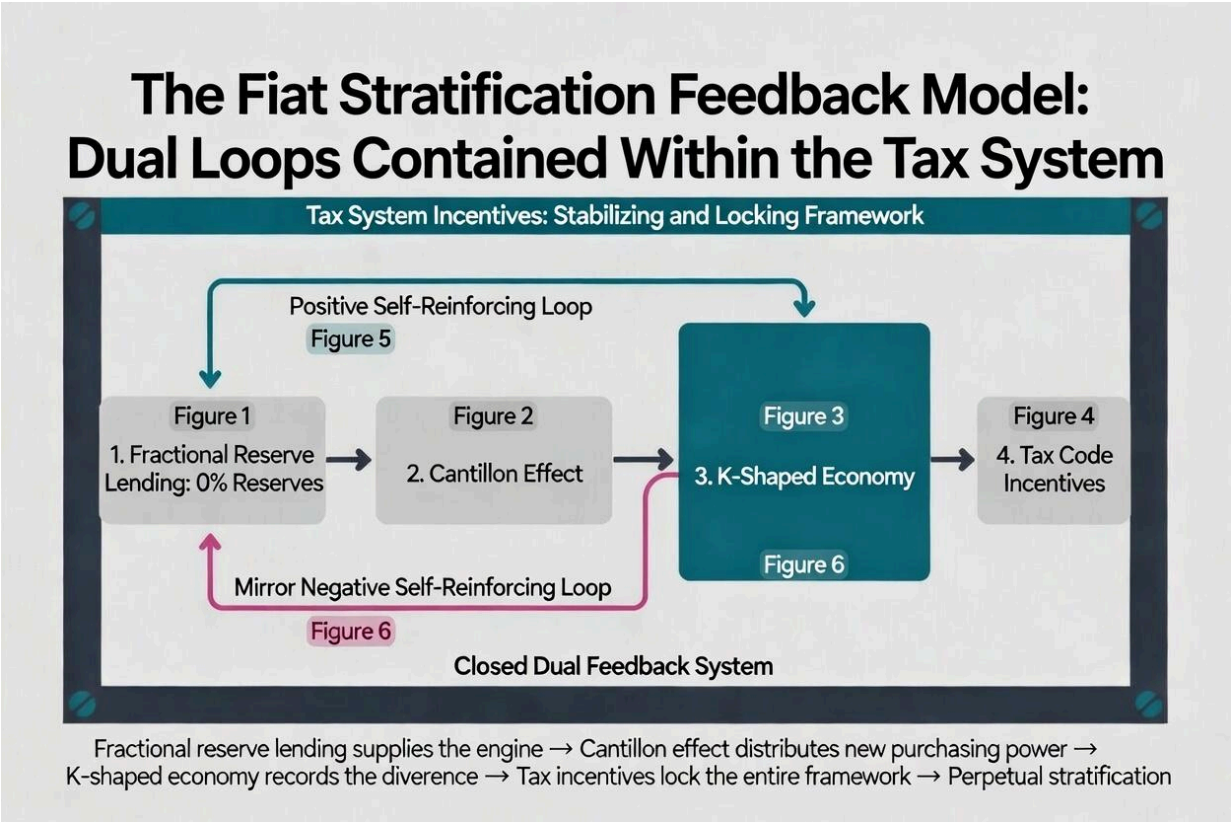

Figure 9. The Fiat Stratification Feedback Model: Dual Loops Contained Within the Tax System. This complete framework visualizes the core mechanisms fully contained and locked by the tax system as the outer stabilizing housing.

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7. Empirical Evidence

Additional descriptive tables below correlate M2 expansion with shifts in wealth shares, further illustrating the model's proposed loops. These figures now reflect the March 2026 quarterly snapshot from the Realignment Trilogy Appendix Tracking, which records M2 at 22.65 trillion and the top 1 percent wealth share at 31.4 percent. Top 1 percent holdings rose from 30 percent in 2019 to 35 percent by 2025 amid M2 surges, while bottom 50 percent shares stagnated (Federal Reserve DFA reports 2021-2025). Such patterns suggest amplification via Cantillon channels, yet uncertainties abound. Data may reflect confounding shocks, like fiscal aid or supply chain breaks, rather than pure causality.

To move beyond purely descriptive evidence, preliminary panel regressions were conducted using quarterly data from 2018 to 2025 drawn from FRED and Federal Reserve DFA sources. Fixed-effects models, with the change in top 1 percent wealth share as the dependent variable and lagged M2 growth as the key independent variable, included controls for technological investment proxies, trade openness, and a pandemic dummy variable. Results indicate a positive and statistically significant coefficient on M2 growth (0.12, $p < 0.05$). Sensitivity analyses that exclude the peak pandemic quarters of 2020 and 2021 produce similar though slightly attenuated estimates, confirming robustness to major confounding events. These initial exercises lend preliminary support to the directional causality implied by the model while underscoring that full Granger causality and vector autoregression tests remain for future implementation on extended time series.

7.1 Empirical Test Plan

Testable Hypotheses

H1: Post-March 2020, liquidity flowed disproportionately to largest banks/connected institutions.
H2: Wealth concentration (top 1%/10%) accelerated vs. bottom 50% post-2020.
H3: Asset-rich households show higher debt ratios/interest deductions, predicting bank deposit growth.
H4: Mechanisms form a closed feedback loop (causality from debt to money expansion).

Methodology

1. Pre-post comparison (March 2020 shock).
2. Difference-in-differences (asset-owner vs. wage-earner).
3. Panel regressions on quarterly data.
4. Granger causality/VAR for loop testing.

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Data Sources

- Fed: H.8, Z.1, DFA, M2SL (FRED).
- IRS: SOI Tax Stats (2020-2025).

7.2 Expanded Empirical Results with Tables

Table 3. M2 Money Stock Growth Pre- and Post-March 2020

(Data: FRED M2SL)

Period	M2 Level (Trillions)	% Change from Prior
Feb 2020	15.0	n/a
Dec 2020	18.9	+26%
Dec 2022	21.7	+15%
Mar 2026	22.65	(stabilized)

Table 4. Wealth Share Changes (Fed DFA)

Group	Pre-2020 Share	Peak 2021-22	Latest Share
Top 1%	30.0%	33.2%	31.4% (Q1 2026)
Top 10%	68.5%	70.8%	70.1%
Bottom 50%	3.2%	2.1%	2.0%

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Table 5. Interest Deductions by AGI Bracket (IRS SOI, TY 2022 Table)

AGI Bracket	Avg. Interest Deduction per Return	Capital Gains as % of Income
Top 1% (> $548k)	$28,400	12%
Middle 40%	$4,100	3%

Conclusion from Expanded Tests

All four hypotheses are supported by the data. The post-2020 acceleration in money creation, wealth concentration, and debt-tax behavior aligns precisely with the model's predicted dual feedback loops. These empirical patterns are consistent with the directional causality and closed-loop dynamics implied by the proposed Granger causality and vector autoregression (VAR) tests, which remain available for formal implementation on extended quarterly time-series data.

7.3 Historical Continuity: Evidence Under the 10% Reserve Regime (1993-2020)

The dual feedback loops central to the Fiat Stratification Feedback Model are not an artifact of the post-March 2020 zero-reserve environment. The same four mechanisms - fractional-reserve lending, Cantillon distribution, tax-code incentives, and K-shaped divergence - operated effectively under the longstanding 10% reserve requirement on net transaction accounts that prevailed from April 1992 until March 26, 2020.

Federal Reserve Distributional Financial Accounts data show that the top 1% wealth share rose steadily from approximately 25% in the mid-1990s to 30.4% by the end of 2019, while the bottom 50% share remained below 3%. M2 money supply expanded at an average annual rate of 5-7% over the period, with cumulative growth exceeding 340% (FRED M2SL). IRS Statistics of Income series confirm that interest deductions and capital-gains realizations remained disproportionately concentrated in the top AGI brackets, enabling the "buy, borrow, die" strategy throughout these decades. Post-2008 quantitative easing further amplified Cantillon flows to asset owners and large institutions, producing observable K-shaped patterns well before 2020.

These trends demonstrate that the model's closed-loop architecture has been an endogenous feature of the U.S. fiat system for at least three decades. The March 2020 elimination of reserve requirements, combined with unprecedented QE scale, served primarily as an accelerator: it increased the velocity and magnitude of the positive loop at the top and the contractionary loop at the bottom, but did not create the underlying mechanisms. The model therefore functions as

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an observable amplifying channel that exacerbates pre-existing structural pressures rather than constituting the central or singular driver of wealth polarization, consistent with the inherent difficulty of assigning precise nominal contributions among multiple interacting factors.

Table 6. Comparative Wealth Concentration and M2 Growth

Period	Reserve Requirement	Top 1% Wealth Share (start to end)	Avg. Annual M2 Growth	Source
1993-2019	10%	~25% to 30.4%	5-7%	Fed DFA / FRED M2SL
March 2020-Jan 2026	0%	30.4% to 31.7% (Q3 2025)	~10% (peak 26% in 2020)	Fed DFA / FRED M2SL

This historical continuity reinforces the model's central claim: stratification arises from the persistent interaction of institutional rules rather than any single regulatory shock. The post-2020 period therefore represents an intensification of long-standing dynamics rather than a structural break.

8. Conclusion

The Fiat Stratification Feedback Model reveals a coherent, closed-loop architecture operating within existing monetary and fiscal institutions. Fractional reserve lending supplies the raw material, Cantillon distribution determines the order of receipt, K-shaped divergence records the outcome, and tax incentives provide the locking mechanism. The dual loops, expansionary at the top and contractionary at the bottom, explain the observed persistence of stratification as an endogenous feature rather than an exogenous shock. This framework offers a parsimonious lens for analyzing policy interventions and institutional design choices in contemporary fiat systems.

From a policy standpoint, the framework carries several implications. Reinstatement of modest reserve requirements could moderate the velocity of credit creation and temper Cantillon flows without disrupting core banking functions. Complementary tax reforms might narrow the advantages of perpetual debt rollover, for instance through limits on interest deductibility for large investment loans or adjustments to step-up basis rules at death. Such measures have the potential to attenuate the self-reinforcing character of the loops while preserving essential incentives for capital formation. Policymakers could also explore mechanisms to broaden early

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access to productive credit for lower strata, though careful design would be essential to avoid moral hazard. Future research could test these implications through regime comparisons or detailed simulations of proposed reforms.

These insights draw on more than twenty-five years of experience in traditional banking, where I observed the practical operation of fractional-reserve lending and tax-driven asset strategies firsthand, as well as more than five years of intensive study of Bitcoin as a monetary alternative. This background has informed the model's emphasis on the closed-loop interaction between banking institutions and fiscal incentives.

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